Country Compliance Report:

Croatia

Information class: Restricted

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.

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1. Terminology

This section outlines general and country-specific terminology for Croatia, which will be used throughout the whole document.

Term	Explanation
Auditability	Refers to the ability of an auditor to achieve a comprehensive examination of the financial records and financial statements of a client
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
Validation of e-invoice	Is the process performed by the buyer or its service provider when receiving invoices and having them confirmed/validated by the country-specific mandatory infrastructure to ensure that the buyer processes a legally valid fiscal document
Fina	Is the software platform that Croatian government agencies use to receive and process e-invoices and other documents in structured format.
Centralised exchange	Where trading parties are required to transmit e-Documents to a predetermine infrastructure normally owned or maintained by the state. The infrastructure acts as an exchange engine, conducting mandatory checks, before delivering the invoice to the target receiver. The transmission path may be regulated, and additional requirements on the format, I&A (such as eSignature) may be necessary
Peppol	The Peppol Network is a logical network enabling secure and reliable exchange of Peppol Dataset Types between End Users via Peppol Service Providers.
Post Audit	This model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called “e-documents”) directly with each other, without any real-time or immediate controls performed by the tax office. Even

2. General overview

This section provides an initial introduction into the local eInvoicing environment within Croatia, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • Financijska agencija (Fina)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Law on Value Added Tax (OG 73/13 99/13) • Rulebook on Value Added Tax (OG 79/13, 85/13) • General Tax Law (OG 147/08, 18/11, 78/12, 136/12, 73/13) • Law on Accounting (OG 109/07, 54/13), • Law on Electronic Document (OG 150/05) • Law on Electronic Signature (OG 10/02, 80/08 30/14) • Law on Electronic Trade (OG 173/03, 67/08, 36/09, 130/11, 30/14) • Law on Electronic Public Procurement

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes[1]	• Differing regimes for B2B and B2G invoicing
e-Invoicing model	• B2B: Post-Audit • B2G: Centralized
e-Invoice definition[2]	• An electronic account or an invoice is an invoice issued, sent and received in a structured electronic form allowing its automatic and electronic processing
Scope of taxpayers the e-document mandate applies to	• All suppliers (incl non-residents) of public entities • All public contracting authorities, as of 1st December, 2018
Mandatory AoR (document response) process	• N.a.
Implementation / roll-out plan	• Implemented

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

4. Before switching to e-invoices

4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for a IT number in Croatia:

- Exemption for small businesses – HRK 300.000 (approximately EUR 40.000)
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – HRK 270.000
- Application of the special scheme for distance selling – HRK 77.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

VAT number format: Prefix HR followed by the 11-digit personal identification number (OIB), e.g., HR12345678910

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Customer must accept e-invoice either by giving prior written consent, or by processing the invoice or by paying the invoice
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• None

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance i required on the invoice	• Not explicitly required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Not explicitly required
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• Not explicitly required
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• Not explicitly required
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• Not explicitly required

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Croatia has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• UBL 2.1 • PEPPOL BIS 3 (both UBL and CII profiles)	• Optional, but if FINA B2B used, then only PEPPOL BIS 3 (only UBL based)
Other document format(s) commonly used for exchange between trading parties	• N.a.	• FINA B2B: UBL 2.1 • XML and PDF
Mandated platform(s) required to have connection with for e-document processing	• FINA (previously called e-Račun)	• Optional, FINA B2B
Other platform(s) relevant for e-document processing	• N.a.	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.	• N.a.
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• PA search • Public service register • Peppol ID (9934: OIB)	• Public service register
Other technical aspects	• FINA Technical specifications can be found here	• N.a.

5.2. Communication with Fina

Regulations in Croatia foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Item	B2G	B2B
Push communication	• AS2 • AS4 • PKI • EDI	• No explicit requirements • AS2 and AS4 for PEPPOL BIS
Pull communication	• Not allowed	• No explicit requirements • AS2 and AS4 for PEPPOL BIS
E-mail distribution	• Not allowed	• Allowed
Webportal	• Allowed	• Allowed

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

No information is currently available

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

No information is currently available

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

No information is currently available

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

No information is currently available

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

No information is currently available

5.5. AoR (response) process

There is no explicit requirement on the Recipient to provide to the Supplier confirmation / notification that an eInvoice has been received.

5.6. FINA validations

Some tax regimes require businesses to send tax documents to a predetermined hub before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

FINA does not run content validations for invoices received via Peppol.

5.7. Invoice presentation / copy

There are no requirements for invoice copies to have any particular wording to differentiate it from the original, but it is recommended.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	B2G	B2B
Push communication	• AS2 • AS4	• No explicit requirements • AS2 and AS4 for PEPPOL BIS
Pull communication	• AS2 • AS4	• No explicit requirements • AS2 and AS4 for PEPPOL BIS
E-mail distribution	• Not allowed	• Allowed
Webportal	• Allowed	• Allowed

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• No information is currently available
What are the options to correct an invoice if the customer returns the goods	• No information is currently available
What are the options to correct an invoice if the customer paid too much	• No information is currently available
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• No information is currently available
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• No information is currently available
Other scenarios with different correction option	• No information is currently available
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• No information is currently available
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No information is currently available

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	There are no specific requirements, however, is recommended to be avoided
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	Not allowed
Whether any conditions apply, and which, to the dematerialisation	If the original invoice is on paper, it must be stored in its original form for the entirety of the archiving period

Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	Not allowed
Whether any conditions apply, and which, to the materialisation	Electronic invoices must be stored in electronic format, and cannot converted and stored in paper format

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Simplified invoice
Documents mandatory for issuance by buyer	• N.a.

Item	Commentary
Self-billing allowed	• No information is currently available
Simplified invoice allowed	• Yes • If Invoice does not exceed HRK 700.00 (approx. EUR 93)

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes

Worldwide numbering on legal entity level allowed provided that gaps can be explained	• Allowed
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

The numbering must be unique and chronological, gaps between numbers are permitted. Different number ranges for branches, permanent establishments, etc. or invoice patterns are allowed to be used. Combination of letters and numbers is possible. Corrective invoices do not require their own sequence.

6.3. Indirect tax (IT)[4] rates

This section illustrates the applied IT[5] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
25%	**Standard**	All other taxable goods and services.
13%	**Reduced**	Accommodation, Edible oils and fats from plant and animal origin, Child car seats, Baby food, Concert tickets, Coffins, Seedlings and Seeds, Agrochemicals, Animal feed, food services and catering,
5%	**Reduced**	Bread, Milk, educational books, medicines and medical products, Cinema Tickets, Newspapers, scientific journals
0%	**Exempt**	Public interest activities, Postal service, Hospital services and health care services, social care services Financial services, Insurance transactions, Real estate transactions

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Croatia. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No, but recommended

[4] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[5] Local name: Porez na dodanu vrijednost (PDV)

Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Any language is accepted, however if demanded by the Tax Authority, the tax payer must ensure translation into Croatian
Sequential numbering	• Yes, see section 6.2 above
Required to mention copy or duplicate in case a copy is issued	• No
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• N.a.
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• N.a.
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply
IT identification number of the supplier in the country of establishment	• No
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes
Legal form of the supplier	• Yes
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No

Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Where relevant
Date of prepayment	• No
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• N.a.
Shipped to location (for the supply of goods)	• N.a.
Status of the goods (e.g. in bond, in free circulation)	• N.a.
Incoterms	• N.a.
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes

Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• No. • From 1 January 2023 there is an obligation to display dual currency (EUR/HRK) for B2C sales/transactions. See section 10.3.
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• Yes
Which exchange rate must be applied in order of priority	• The conversion rate is determined by the middle exchange rate of the Croatian National Bank or the exchange rate published by the European Central Bank at the date of the VAT calculation obligation arose
Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• No, but recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes
List the required references in case of exemption or reverse charge	• N.a.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for	• Yes

triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No
Specific references required in case invoicing is outsourced	• No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• N.a.
Other supplies for which a simplified invoice can be issued	• N.a.
Simplified invoices limited to certain type of supplies	• N.a.
Simplified invoices not allowed for certain transactions	• N.a.

Minimum content requirements on a simplified invoice	• Full legal name VAT number and full address of the supplier • Quantity of the goods/services • Description of the goods/Services • Invoice date • Date of supply/service (if different from invoice date; if it is the same date following notation has to be mentioned: "Invoice date is date of supply/service") • Taxable amount and tax amount in a total amount - VAT rate applied
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by a non-established supplier on which IT is due by the supplier • Invoices issued by an established supplier that are taxable in another country but where IT is due by the customer • Invoices issued by an established supplier that are taxable in our country
(other) Invoices subject to the national invoice requirements (not self-bills)	• No

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Croatia, a credit note must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• No, but recommended
Reference to original invoice required on a credit note	• Invoice number
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No
Reason for credit required	• No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• Yes

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• Any means Business Controls, EDI, e-signature	• Any method accepted: EDI, Business Controls and eSignature Validation
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• QES • AES • Advanced electronic seal
Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate and data for the verification of electronic signatures
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original e-invoice is in machine-readable format, the taxable person must offer means to provide human-readability and printability
Retention period for invoices not related to immovable property[6]	• 11 years
Start point of retention period calculation for invoices not related to immovable property	• End of financial year
Retention period for e- invoices related to immovable property	• N.a.
Start point of retention period calculation for invoices related to immovable property	• N.a.
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a.

[6] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a.
Outsourced archiving	• Allowed
Archiving abroad[7] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Allowed if online access is guaranteed • Notification to TA required
Other requirements in relation to electronic document retention	• No explicit requirements

[7] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No such requirement
Transportation documents	• No explicit requirements
Other	• No explicit requirements

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Special requirements

Approach for receiving and processing e-invoices

Contracting authorities receive eInvoices via the Financial Agency eInvoicing platform *e-Račun,* recently renamed FINA. FINA is the contracted holder of the Central platform defined by law. All other providers or senders must be connected to FINA eithefafr by direct connection through web services or over the PEPPOL infrastructure if they wish to send invoices to public authorities.

The processing of eInvoices depends on the contracting authorities' technology. Generally, eInvoices are processed in a semi-automated way, where the processing of eInvoices requires some human intervention. Public authorities will work with PEPPOL BIS 3.0 and can accept through both AS2 and AS4 but right now because transitional period in PEPPOL infrastructure they have decided to enable only AS2 until April 2019.

Status on the implementation of the Directive

As for now, in Croatia, the Law on electronic Issuance of Public Procurement Invoices has been adopted and all public authorities are obliged to receive structured e-invoices according to the EN 16931 and accept and process such invoices beginning from December 1st, 2018.

From July 1st, 2019, suppliers to contracting authorities are obliged to issue structured e-invoices. Registering Public Authorities (PA's) into the Croatian SMP/SML will begin before the end of 2018. The majority of Croatian PA are connected to the Peppol eDelivery Network according to FINA. Businesses can be search using the Croatian Public service directory (https://servisi.fina.hr/e-racun-javna-trazilica/).

The Croatian ISO6523 codes used in Peppol BIS is 9934

One can choose "Obveznik JN" for public authorities and "OIB" (Croatian Business Entity VAT number) or Business Entity name "Naziv poslovnog subjekta"

B2B eInvoicing capability

FINA owns two platforms one for business and one for public authorities. In business segment they will only accept UBL 2.1 according to PEPPOL BIS 3.0. There is currently no talk surrounding enforcing mandatory B2B eInvoicing.

10.2. Additional requirements

In line with EU Directive 2018/22, Croatia has implemented a mandatory disclosure rule, particularly in regard to Cross-Border arrangements, which now must be reported to the Croatian tax authority. In this case, either the taxpayer or the individuals who designed the original Cross-Border arrangement (i.e. tax advisors) are responsible for disclosing the information.

QR code / supporting documentation

1 April 2020 – obligation to issue invoices for supporting documents (bids, orders, etc.) issued at the moment prior to issuing the fiscalized invoice. Fiscalization[8] of these supporting documents does not exclude the obligation to fiscalize the delivery invoices and will connect the Tax Administration system with the issued and fiscalized invoices. It is imperative to define a software solution that will be consistent with the implementation of the new Act on

1 April 2021. – an obligation to issue a QR code on each issued fiscalized invoice

10.3. Dual currency display for B2C sales

Croatia is set to replace the kuna (HRK) with the euro (EUR) as the new official currency starting from 1 January 2023. This has been confirmed by the decision of the European Council on 12 July 2022.

The display of both currencies will be mandatory for B2C sales/transactions for the period 5 September 2022 to 31 December 2023. A fixed conversion rate set at 7.53450 kuna for 1 euro will be used for the conversion.

10.4. “Fiscalization” project

The Tax Administration launched the project "Fiscalization 2.0”.

The project, financed by grants from the National Recovery and Resilience Plan programme, aims at imposing a mandatory exchange of electronic invoices between entrepreneurs. Its final product will be an implemented e-invoicing platform with an

[8] Fiscalization is fiscal law designed to avoid retailer fraud. Fiscal law about cash registers has been introduced in countries to control the grey economy by enforcing all mandatory transaction reporting to the authorities. According to fiscal law, an appropriate fiscal receipt has to be printed and given to the customer.

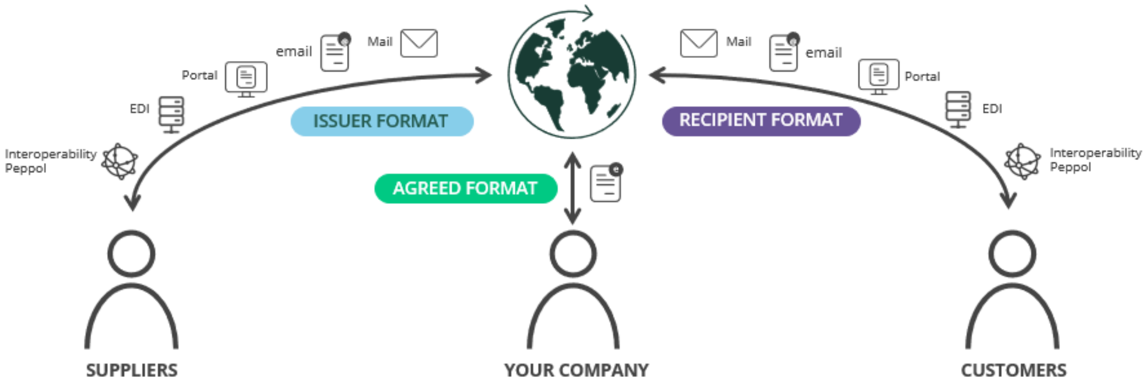
integrated e-archive and advanced online bookkeeping in the VAT system to increase efficiency and drive digitalization among small entrepreneurs.

The implementation phase of “Fiscalization 2.0” project is planned to end in December 2024.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) and reception (AP) B2B with Pagero



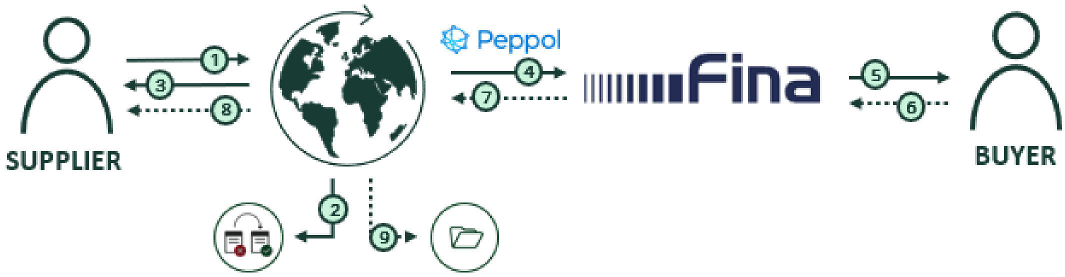
(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners

(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements

(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms

(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

11.2. Document issuance B2G (AR) with Pagero



1) Supplier provides data in supplier preferred format to PAGERO

2) PAGERO performs i.a.

   1) content validation,
   2) content enrichment and conversion,
   3) document format conversion,

3) PAGERO returns the finalized e-invoice to the supplier

4) PAGERO sends the final e-document to FINA in a legally predefined format and according to a legally predefined exchange protocol

5) FINA sends the received e-document to the buyer

6) -8) Return communication from the buyer to the supplier, i.a. receipt acknowledgement, document approval or rejection, which could be optional or mandatory

9) PAGERO archives all relevant document on behalf of the supplier

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
17 December 2018	Document created
20 December 2018	Update of Invoice format storage requirements (section 8)
7 October 2021	Country name change
15 November 2022	Added section 10.3
14 February 2023	Added section 10.4